REPORTABLE

IN THE SUPREME COURT OF INDIA
CIVIL APPELLATE JURISDICTION

CIVIL APPEAL NO. 7410 OF 2023
(Arising out of SLP (C) No. 15266 of 2023)

PRIYADARSHINI TEXTILES MILLS LTD. ...APPELLANT(S)

VERSUS

SOUTHERN YARN TRADERS ...RESPONDENT(S)

J U D G M E N T

RAGHAVENDRA N. SESHADRI, J.

1. Leave granted.

2. This appeal arises out of the judgment of the High Court of Madras dismissing an application of the appellant under Section 11(6) of the Arbitration and Conciliation Act, 1996 ("the 1996 Act") on the ground that the arbitration agreement was not proved to be duly executed by the respondent.

3. The High Court examined the correspondence between the parties and the evidence of the respondent's partner in affidavit form, and held on a detailed analysis that the arbitration clause did not bind the respondent.

4. The question is whether such a detailed enquiry was permissible at the stage of Section 11(6) of the 1996 Act.

5. The scope of enquiry under Section 11(6) of the Arbitration and Conciliation Act, 1996 is confined to a prima facie examination of the existence of an arbitration agreement; where the existence is arguable, the parties must be left to the arbitral tribunal, which is empowered under Section 16 to rule on its own jurisdiction.

6. The High Court has traversed the prescribed limits. The written correspondence on record prima facie shows that the respondent acted on the contract containing the arbitration clause. The appeal is allowed, the order of the High Court is set aside, and a sole arbitrator is appointed by this Court. The respondent's objections remain open before the tribunal.

.....J.

SYNTHETIC TEST FIXTURE - fictional case generated for BenchSplit; not a real judgment

[RAGHAVENDRA N. SESHADRI]
.....J.
[MEERA K. KAPADIA-RAO]

NEW DELHI;
DECEMBER 13, 2023.

SYNTHETIC TEST FIXTURE - fictional case generated for BenchSplit; not a real judgment